Risk Parity Portfolio: Executive Commentary

Analysis results for the 10-year window as of 2026-04-30

Executive Summary

Risk Parity Portfolio was reviewed on the latest available reporting window. CAGR is 7.80%, annualized volatility is 8.10%, maximum drawdown is -18.20%, Sharpe is 0.689, Sortino is 1.086, and market sensitivity is 0.395. Stress diagnostics show: Passed with diagnostic warning; worst scenario loss is -15.40%.

Key Metrics

7.80% CAGR	**8.10%** Volatility	**-18.20%** Max Drawdown
0.689 Sharpe	**1.086** Sortino	**0.395** Market Sensitivity

What This Means

The portfolio profile should be read as a trade-off between return, realized drawdown, and market sensitivity. CAGR measures compound annual growth, volatility measures annualized variability, and maximum drawdown captures the largest peak-to-trough loss in the reporting window. Sharpe and Sortino summarize risk-adjusted return, while market sensitivity indicates how strongly the portfolio moves with the broad benchmark.

Risk Structure

Stress status: Passed with diagnostic warning. Worst scenario loss: -15.40%. Flagged scenario: N/A; flagged test: N/A. These diagnostics are used to identify risk concentrations and scenario vulnerability; they do not by themselves replace the mandate checks.

Scenario Analysis

Scenario	PnL	Pass	Top RC Asset	Top 3 RC
equity_shock	-11.71%	True	GLD	42.68%
credit_shock	-1.69%	True	GLD	42.68%

Scenario	PnL	Pass	Top RC Asset	Top 3 RC
rates_shock	-9.67%	True	GLD	39.02%
inflation_stagflation	-7.77%	True	GLD	39.02%
liquidity_shock	-6.39%	True	GLD	42.68%
recession_severe	-15.40%	True	GLD	42.65%

Conclusion

This English PDF was generated from the current structured portfolio outputs. Use the metrics, stress status, and scenario table together: the headline return profile is only meaningful when read alongside drawdown resilience and scenario behavior.